A structure reshaping private equity liquidity

The Structure

A continuation vehicle (CV) is a new fund established by an existing general partner (GP) to acquire one or more portfolio companies from an older fund managed by the same GP. Existing limited partners (LPs) can either sell at the transaction price and receive liquidity or roll their interest into the new vehicle and continue participating in the asset. New capital, typically provided by specialist secondary investors, finances the acquisition while allowing the GP to continue owning a business it believes has further value to create.

Why It Has Grown

The structure has grown rapidly because it solves a practical mismatch in private equity. Fund lives are finite, yet some of the highest-quality businesses still have meaningful runway beyond a traditional ten-year holding period. In a slower exit market, continuation vehicles have become an alternative to a trade sale or IPO, providing liquidity for investors who want it while allowing others to remain invested. GP-led transactions now represent roughly half of global secondaries volume, reflecting how the market has shifted from viewing these deals as distressed solutions to recognising them as portfolio management tools.

The Governance Challenge

What makes the structure interesting is not the mechanics but the governance. The GP sits on both sides of the transaction, selling from the old fund while buying through the new one. As someone who previously worked from the perspective of an institutional allocator, this is where I naturally find myself focusing. The question is less whether continuation vehicles are beneficial and more whether the process gives existing investors confidence that the outcome is fair.

LP perspective

From an LP's perspective, four concerns immediately arise. First is the economic reset: crystallised carry from the existing fund followed by a new fee and carry structure in the continuation vehicle can create the perception of being paid twice on the same asset. Second is the compressed decision window, where LPs often have only a short period to decide whether to sell or roll despite having materially less information than the GP. Third is adverse selection: if the asset is genuinely exceptional, why is it remaining within the GP's ecosystem rather than being sold through a broader competitive exit? None of these concerns necessarily invalidate a continuation vehicle, but they do mean the burden of proof sits firmly with the GP.

Why Process Matters

That is precisely why the process carries so much weight. Competitive auctions, independent fairness opinions, LP advisory committee oversight and meaningful GP reinvestment are not procedural formalities–they are the mechanisms that make the conflict credible to investors. The value of an advisor such as Fairview therefore extends beyond valuation itself: it lies in running a process that is sufficiently independent and competitive for LPs to believe that price discovery has been genuine.

A Live Example

Fairview's advisory role on MCH Private Equity's continuation vehicle for Europastry, led by Ares Secondaries, is a good example of these dynamics in practice. Beyond the transaction itself, it demonstrates how governance, valuation and investor alignment become inseparable in GP-led secondaries. That intersection of financial analysis, market process and stakeholder judgement is what makes the space particularly interesting to me.